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Money for Jam

With FIIs scaling up their operations in India, the frenzy in the primary market showed no signs of abating. Retail investors regained their love for the stock market, but the quality of companies seeking to raise money was rapidly going from bad to worse. Fly-by-night merchant bankers helped shady promoters raise money for projects that existed only on paper. Eventually, many of the companies and their promoters would simply vanish, never to be heard of again.

Self-proclaimed merchant bankers would cold-call promoters asking if they wanted to raise money. A typical conversation between the merchant banker and the promoter would go something like this:

Merchant banker: Sir, would you like to raise Rs 10-15 crore?

Promoter: Not at the moment.

Merchant banker: But markets won't be as hot for long. You must raise money when it is available.

Promoter: What is the rate of interest?

Merchant banker: There is none.

Promoter: Really? But I still have to return the money at some point, right?

Merchant banker: No, and that is the beauty of it.

Promoter (suspiciously): You mean, I get the money, I don't have to pay interest, and I don't have to return it. Is that what you are saying?

Merchant banker: Exactly.

Promoter: You have got me interested.